Research Evolution

Preserved Edition A, separate provenance qualification, final Edition B, and A-to-B evidence

Edition A is reproduced without rewriting. Its content continuity is established, but its status as the official supervised/Brightspace baseline remains unverified because no receipt or contemporaneous Git record was found.

Target	The Home Depot, Inc. (NYSE: HD)
Decision user	Buy-side investment committee; no current position
Valuation date	September 1, 2026
Currency / share basis	USD millions; estimated valuation-date diluted shares
Current decision	WATCH / DEFER
Model version checked	Repository commit 0a4c113215fdda3efdf075926de03e919e7e89e4

Educational AI finance class work; not professional financial advice.

Edition A provenance qualification

This qualification is separate from Edition A and does not alter its wording.

Evidence	Finding
Earliest available file	/Users/ethantodd/Documents/Codex/2026-09-01/h/outputs/home-depot-project-1-edition-a.md; filesystem birth/modified metadata September 1, 2026, 13:59:31 EDT
Preserved copy	edition_a_unchanged.md; first Git appearance in commit 46e3d779... on October 19, 2026
Content identity	Both are 8,309 bytes and SHA-256 f9027194f5be2e63490d467483c4eac3010b1feb5cacefe6257fbc253fdf3478; cmp/diff show byte identity
What this proves	A matching file existed at the earliest available location and the repository copy has not changed since preservation
What this does not prove	Original supervised authorship, Brightspace submission order, receipt time, or instructor acceptance

The file itself retains blank receipt, synthetic-bridge, and partner-question fields. No retrospective completion is inserted. Correct status: unchanged since the earliest available copy and Git preservation; official Edition A originality/submission remains unverified.

Preserved Edition A - verbatim text

The lines below reproduce edition_a_unchanged.md without rewriting. Markdown markers and placeholders are intentionally retained.

Project 1 Edition A — The Home Depot, Inc. (HD)

Decision and intended user

- **Intended user:** An individual long-term equity investor.

- **Valuation date:** September 1, 2026.

- **Initial decision:** **Watch/defer.** Home Depot is a highly profitable, established retailer, but I do not yet have enough valuation evidence to initiate a position. Fiscal 2025 sales rose, while operating income, operating margin, and diluted EPS declined. The company also carries substantial debt relative to cash. I will defer until I estimate intrinsic value and compare it with the market price.

Company and primary filing

- **Entity:** The Home Depot, Inc.

- **Ticker:** HD (New York Stock Exchange)

- **CIK:** 0000354950

- **Primary filing:** Form 10-K for the fiscal year ended February 1, 2026

- **SEC accession number:** 0001628280-26-019436

- **Filing date:** March 18, 2026

- **Reporting period:** Fiscal 2025, the 52 weeks ended February 1, 2026

- **Currency:** U.S. dollars

- **Units:** USD millions except per-share data, unless otherwise stated

- **SEC filing:** https://www.sec.gov/Archives/edgar/data/354950/000162828026019436/hd-20260201.htm

- **SEC filing index:** https://www.sec.gov/Archives/edgar/data/354950/000162828026019436/0001628280-26-019436-index.html

Known evidence from the filing

All dollar figures below are in USD millions unless stated otherwise.

| Required item | Fiscal 2025 evidence | Location/interpretation |

|---|---:|---|

| Diluted shares | 995 million | Note 11 reconciles 993 million basic weighted-average shares plus 2 million from potentially dilutive stock awards to 995 million diluted weighted-average shares. The diluted share convention is therefore weighted-average diluted shares for the fiscal year. |

| Cash | $1,389 | Cash and cash equivalents at February 1, 2026. |

| Short-term debt | $4,464 | Balance-sheet amount at February 1, 2026. |

| Current installments of long-term debt | $4,967 | Balance-sheet amount at February 1, 2026. |

| Long-term debt, excluding current installments | $46,341 | Balance-sheet amount at February 1, 2026. |

| Total long-term debt | $51,308 | Note 5; includes current installments and finance-lease obligations. |

| Net sales | $164,683 | Increased 3.2% from $159,514 million in fiscal 2024. |

| Operating income | $20,890 | Down from $21,526 million in fiscal 2024. |

| Operating margin | 12.7% | Down from 13.5% in fiscal 2024. |

| Diluted EPS | $14.23 | Down 4.6% from $14.91 in fiscal 2024. |

Operating-value driver

I will initially use **comparable sales growth** as an operating-value driver because it helps separate performance at the established store and online base from growth produced by acquisitions and new stores. Fiscal 2025 comparable sales increased 0.3%. The filing says total net sales increased 3.2%, primarily because SRS and GMS contributed about $6.3 billion of incremental sales. This distinction matters because acquisition-driven revenue does not by itself prove stronger organic economics.

Average ticket is a supporting driver. Management identifies average ticket as a primary sales-performance driver. It increased 1.4% to $90.56, while comparable customer transactions fell 1.0%. This suggests that ticket growth, rather than transaction growth, supported comparable sales.

Initial thesis

Home Depot has scale, brand recognition, broad distribution, and a profitable core business. Fiscal 2025 net sales grew to $164.7 billion, but much of the increase came from acquisitions. Meanwhile, operating margin declined to 12.7%, diluted EPS fell to $14.23, and comparable customer transactions declined. These results create uncertainty about the strength of organic demand and the incremental returns from recent acquisitions. The company may still be attractive at the right price, but I need a complete valuation and evidence that margins and organic sales can stabilize before initiating.

Consequential assumptions

1. Comparable sales eventually grow at a modest positive rate rather than depending mainly on acquisitions.

2. Operating margin can stabilize near its recent range after acquisition integration and tariff pressures.

3. SRS and GMS produce adequate incremental cash flow and do not permanently dilute returns on invested capital.

4. Home Depot can refinance and service its debt without materially constraining reinvestment or dividends.

5. A normalized housing and remodeling environment supports long-run demand, although near-term timing is uncertain.

6. Diluted weighted-average shares are an appropriate starting share convention; the final valuation will reconcile this with period-end shares and expected dilution.

Unknowns

- The market price and market capitalization on the valuation date.

- A defensible normalized revenue growth rate and operating margin.

- The appropriate beta, equity risk premium, cost of debt, and weighted-average cost of capital.

- The amount of debt and lease obligations that should be included in the final enterprise-to-equity bridge.

- The sustainable free-cash-flow contribution and integration costs of SRS and GMS.

- Whether current housing turnover, remodeling demand, tariffs, and interest rates represent temporary or lasting pressure.

- Home Depot's intrinsic value per diluted share and margin of safety at the current price.

Research plan

1. Obtain HD's closing share price on the valuation date and reconcile basic, diluted, and period-end shares.

2. Build a three-to-five-year historical model for sales, comparable sales, margins, taxes, capital expenditures, depreciation, and working capital.

3. Separate organic performance from acquisition contributions where the disclosures allow it.

4. Estimate unlevered free cash flow and create base, downside, and upside forecasts.

5. Estimate WACC using a documented risk-free rate, equity risk premium, beta, and after-tax cost of debt.

6. Run a discounted-cash-flow valuation and cross-check it against appropriate peer multiples.

7. Complete the enterprise-to-equity bridge consistently, including a documented treatment of short-term debt, long-term debt, finance leases, cash, and other non-operating claims.

8. Compare estimated intrinsic value per diluted share with market price and require a margin of safety before changing the decision from watch/defer.

Synthetic enterprise-to-equity bridge check

Complete from the exact in-class synthetic figures before submission. Do not substitute Home Depot's reported figures for this known-answer exercise.

```text
Synthetic enterprise value $_______

Less: synthetic debt (_______)

Add: synthetic cash _______

Adjust: other specified bridge items _______

Synthetic equity value $_______

Calculation: EV - debt + cash +/- other specified adjustments = equity value
```

For orientation only—not the required synthetic answer—Home Depot reported $4,464 million of short-term debt, $51,308 million of total long-term debt, and $1,389 million of cash. A simple company-specific net-debt amount using those classifications would be $54,383 million ($4,464 + $51,308 - $1,389), but the final valuation must document whether finance leases and any other claims belong in the bridge.

Partner-generated falsification question

Insert the exact question supplied by the human partner:

> [PARTNER QUESTION GOES HERE]

Why it matters: [Explain in your own words what evidence would disprove or materially weaken the thesis.]

AI-use disclosure

Generative AI was used to locate and organize public SEC filing evidence and to prepare an initial draft. I reviewed the filing evidence and remain responsible for checking every figure, completing the in-class synthetic bridge, inserting the human partner's question, stating my own reasoning, and complying with the instructor's authorization for this redo. Non-AI source used: SEC EDGAR and The Home Depot fiscal 2025 Form 10-K.

Pre-submission fields

- **Synthetic bridge completed and checked:** [YES/NO]
- **Human partner's question inserted:** [YES/NO]
- **Edition A receipt/attempt identifier:** [ADD AFTER SUBMISSION]
- **Receipt timestamp:** [ADD AFTER SUBMISSION]
- **File preserved unchanged after receipt:** [YES/NO]

Edition B - final research evolution

Current decision

Watch/defer Home Depot as of September 1, 2026. The evidence-backed operating DCF range is $220.99-$253.91 per diluted share, below the $319.77 close. The base FCFF/WACC DCF is $234.00. Separate peer references are $240.00 from GAAP P/E and $217.21 from EV/EBITDA. The methods are not mechanically averaged.

The recommendation is conditional rather than a certain overvaluation claim because WACC, exact dilution, excess cash, operating-lease treatment, and peer/price evidence remain provisional or limited. The $177.82-$330.03 WACC-growth grid is a boundary test, not the operating recommendation range.

Consequential evidence developed after Edition A

- Reconstructed reported FY2025 from the Form 10-K before forecast adjustments and kept proposed normalizations separate.
- Built linked five-year income statement, balance sheet, cash flow, and signed FCFF schedules with balance-sheet and cash-tie checks.
- Reconciled commercial paper, Note 5 debt, finance leases, operating leases, cash, and diluted shares in the enterprise-to-equity bridge.
- Calculated a provisional 8.1984% WACC from dated Treasury/ERP facts and disclosed beta and marginal debt/tax proxies.
- Ran causal downside/base/upside operating cases, WACC-growth sensitivity, reverse DCF, P/E, and EV/EBITDA comparisons.
- Qualified Tractor Supply rather than treating it as a close peer after checking its SEC product-category evidence.
- Accepted Jack Schlueter's October 13, 2026 challenge that a 76.57% terminal-value share is the largest valuation concentration; the locked test supports the concern.

A-to-B evidence

Changed item	Edition A	Edition B	Driver and evidence
Intended user	Individual long-term investor	Assigned buy-side committee with no position	Project 1 role instruction
Recommendation	Watch/defer because valuation was incomplete	No material change: watch/defer because market exceeds operating range and both peer references	Three operating cases, dated market price, two unaveraged peer methods
Data	FY2025 10-K; market/WACC unknown	10-K, Aug. 2026 10-Q/release, Sep. 1 Treasury/ERP/price evidence	Source and consistency audits; unresolved items remain labelled
Model	Planned DCF and bridge	Linked statements, signed FCFF, WACC DCF and explicit bridge	Benchmark, reconciliation, articulation, bridge and boundary tests
Assumptions	Forecast and WACC not established	8.1984% provisional WACC; 2.5% terminal growth; causal cases	Sourced facts plus disclosed forecast judgments/proxies
Risk	Organic demand, margins, acquisitions, debt	Risks quantified; terminal concentration, dilution, cash, WACC and lease limits added	76.57% terminal share; sensitivity; source audit
AI output	No completed checked example	TSCO peer suggestion qualified	SEC Q2 product mix; 11_ai_output_check.md
Partner challenge	Placeholder remains	Jack Schlueter terminal-value challenge accepted	Student recollection plus model/locked-test reconciliation; no independent transcript

What changed from Edition A to Edition B, and why?

The recommendation did not materially change, but its evidentiary basis did. Edition A deferred because valuation evidence was missing. Edition B defers because a tested $220.99-$253.91 operating range and both separate comparable references remain below the $319.77 market price. The model also shows that the conclusion is sensitive to unresolved WACC inputs and a terminal value representing 76.57% of base enterprise value.

Conditions and evidence that would change the decision

Initiate only if a refreshed valuation based on sourced results and a resolved WACC shows sufficient upside to the then-current price, with the margin of safety set by the committee. Move toward do-not-initiate if demand and margin evidence meets or exceeds the downside deterioration, acquisition integration weakens, or a material accounting/bridge validation fails. Monitor comparable sales and transactions, big-ticket demand, gross margin, SG&A; leverage, acquisition contribution, capex, inventory days, and WACC inputs.

AI assistance disclosure

Codex (GPT-5 surface; no finer version exposed) assisted with source organization, model implementation, validation, drafting, consistency checks, and PDF assembly after the Edition A boundary. The student supplied the locked prediction and partner recollection, selected the decision, and remains responsible for every assumption and conclusion. The checked material AI output is the Tractor Supply peer suggestion, which was qualified using independent SEC evidence.

Outstanding evidence

- Official Edition A Brightspace receipt or other contemporaneous submission evidence.
- Independent timestamp/transcript for the recalled partner challenge, if required.
- Exchange-quality September 1 price capture; the dated ERP workbook/page evidence is now preserved separately.
- Resolved beta, marginal debt cost/tax, exact dilution, excess cash, and operating-lease rollforward.
- Recorded cold run, videos, corrected transcripts, final access checks, and frozen manifest fields.